

**Time:** 5 minutes**Outcome:** Identify nonprice determinants that shift supply left or right.**Difficulty:** ●●○ Intermediate

Determinants of Supply



THE CORE IDEA

Supply shifts when a nonprice determinant changes. Supply increases and shifts right when sellers can provide more at every price; supply decreases and shifts left when they provide less at every price. Important determinants include input and resource costs, technology and productivity, taxes and subsidies, expectations, the number of sellers, and natural or regulatory production conditions. A change that lowers marginal production cost generally increases supply, while a change that raises marginal cost generally decreases it.



HOW TO RECOGNIZE IT

- Input prices, technology, productivity, taxes, or subsidies change.
- Producers' expectations or the number of sellers changes.
- Quantity supplied changes at the same price.
- The entire supply curve moves left or right rather than moving to another point on one curve.

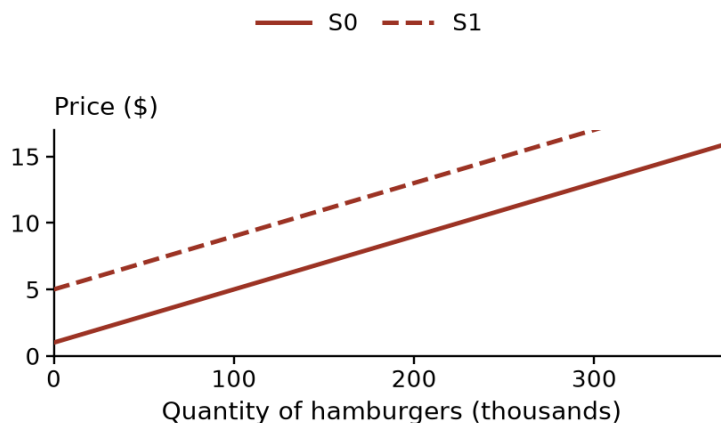


WATCH OUT

Do not treat a change in the good's own price as a supply shifter. Own-price changes create movements along the existing curve. A change in production cost, technology, expectations, or the number of sellers changes how much firms offer at every price and shifts the curve.



WORKED EXAMPLE: SUPPLY SHIFT



At a hamburger price of \$9, the original curve S0 shows quantity supplied of 200 thousand, while S1 shows 100 thousand. The product's price is unchanged, so the 100-thousand decrease is not a movement along S0. It is a leftward shift from S0 to S1, consistent with a determinant such as higher input costs reducing supply.



CHECK YOURSELF

A new technology lowers the cost of producing solar panels. Which direction does supply shift, and why?

**READY?**

Return to the game and master this concept.